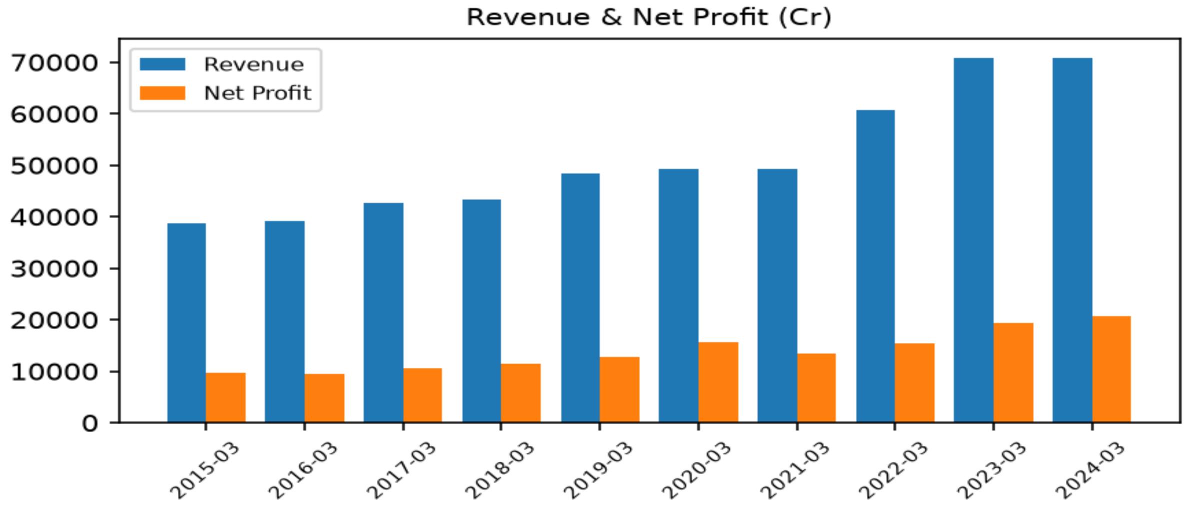
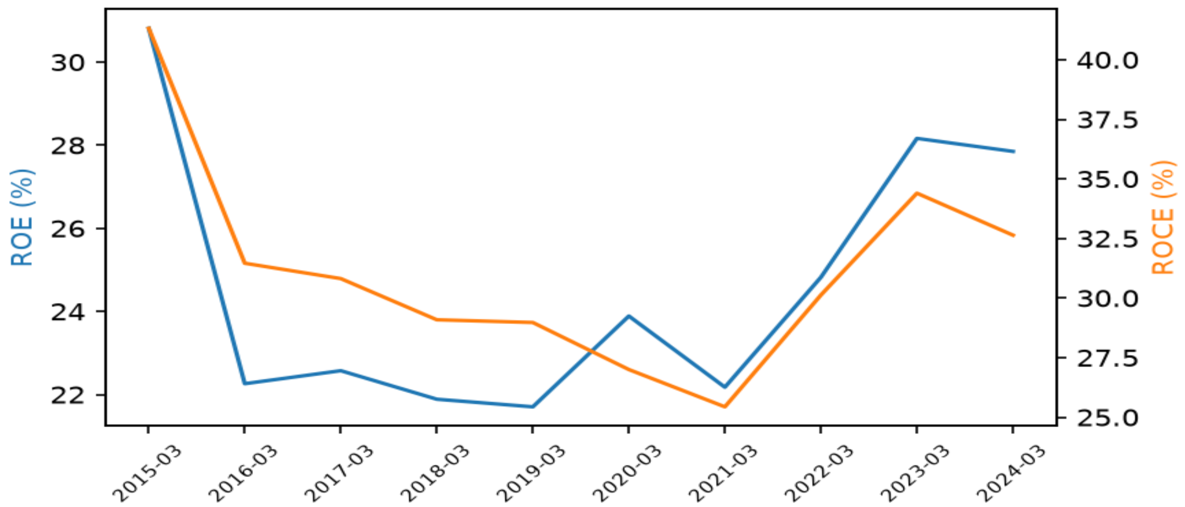
ITC Ltd (ITC)

ROE 27.9%	**ROCE** 32.6%	**Net Profit Margin** 29.3%
D/E 0.0	**Revenue CAGR 5yr** 8.0%	**Free Cash Flow (Cr)** 18742.0

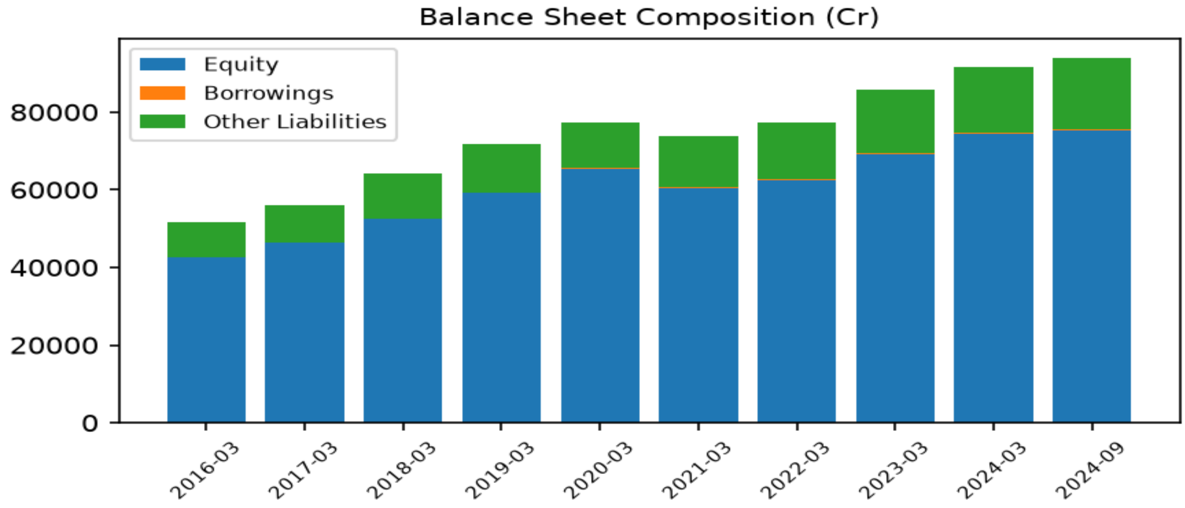
Revenue & Net Profit (10yr)



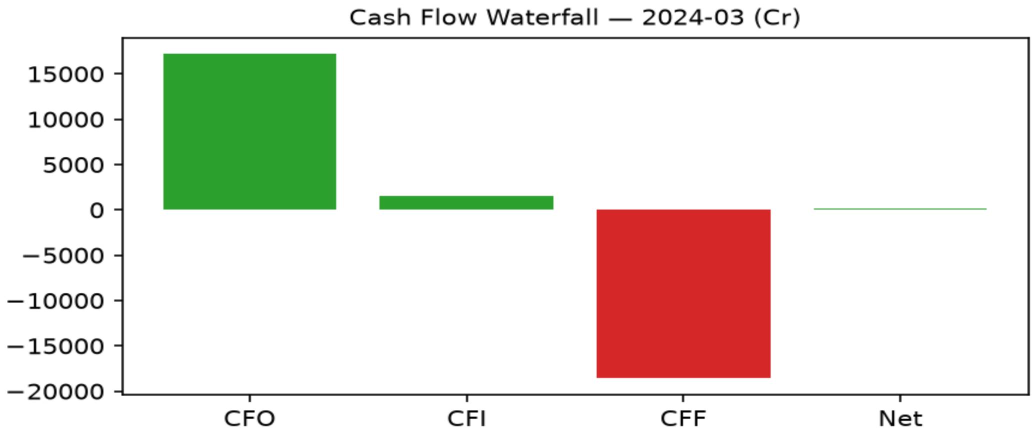
ROE & ROCE (10yr)



Balance Sheet Composition



Cash Flow (Latest Year)



Pros

✓ Consistently high return on equity above 20% demonstrates exceptional capital efficiency
✓ Strong free cash flow generation over 5 years signals healthy business fundamentals
✓ Operating profit margin above 25% indicates strong pricing power and cost discipline
✓ Very high interest coverage ratio reflects negligible financial stress from debt servicing
✓ Consistent dividend yield above 2% backed by positive free cash flow
✓ Revenue growing slower than profits shows improving operating leverage and scale benefits
✓ Return on equity of 27.9% reflects the company's baseline capital efficiency.

Cons

✗ Revenue contraction over 2 consecutive years indicates demand weakness or market share loss

Capital Allocation: Liquidating Assets